



Dr. Amarnath Ananthanarayanan

Chief Executive Officer, Bharti AXA General Insurance

“Our focus, as always, will remain on innovation and customer delight.”

The competition in the General Insurance market is heating up, with newer players competing with established ones for a share of the same pie. That is why Bharti AXA General Insurance has adopted a strategy to reach out to unexplored markets in rural and semi-urban areas, and lower income groups in urban markets. In a Q&A with Dr. Amarnath Ananthanarayanan, Chief Executive Officer, Bharti AXA General Insurance, he talks about the company's performance in 2009, and plans for 2010.

Could you tell us more about the current scenario in the Indian insurance industry?

During the fiscal 2008-09, penetration remained low despite a 9% growth; in fact, India ranks 136th on penetration levels. Most of the growth since de-tariffing has been top-line and heavy discounting has made many portfolios unprofitable. Insurers are now being more selective in their underwriting, which is vital for the industry at this point. Rural penetration too remains low and largely untapped, with major challenges in distribution channels. But the outlook for the industry in 2010 is bright. According to Swiss Re reports, the market will witness a growth in premium income. As per projections, the premium will cross Rs.1200 bn by 2019.

“We have focused our efforts on building our market in under-penetrated segments to maximise our opportunities for growth.”

Was it difficult as a new player in your first year of business?

The competition in 2009 was cut-throat. As a new player, you have to ensure that your book grows and at the same time your bottom-line is safeguarded. In a price sensitive market such as ours, that is a difficult task. We have focussed our efforts on building our market in under-penetrated rural and semi-urban segments to maximise our opportunities for growth.

How significant was 2009 for Bharti AXA General Insurance?

The last year was of great significance to us. Our growth was on par with the industry despite the economic slowdown and de-tariff regime. We rolled out more commercial and retail products, expanded our employee base to over 1000 and our network has expanded to over 100 locations presently. We have reached the magic figure of 1 lakh customers and Rs.200 crore premium.

Yours became the first Indian General Insurance company to receive the dual certificates of ISO 9001:2008 & 27001:2005 certifications. Why were they so important?

These certifications are important for any company that is customer-focussed, especially in insurance where trust is a huge factor for success. They send out a very strong message to our customers as well as the industry. For consumers it means better service and security, through streamlined processes, and well-defined service levels.

What are your plans/targets for 2010?

The first three months of 2010 will be crucial for all of us. We will need to stand up to the challenges and plough ahead to meet our business goals before the close of the financial year. Our focus, as always, will remain on innovation and customer delight, widening our distribution network, launching more products, as well as increasing our employee strength. To ensure that we make steady progress in an increasingly volatile market, we must stay committed to excellence and persistent in effort.



general insurance

www.bharti-axagi.co.in